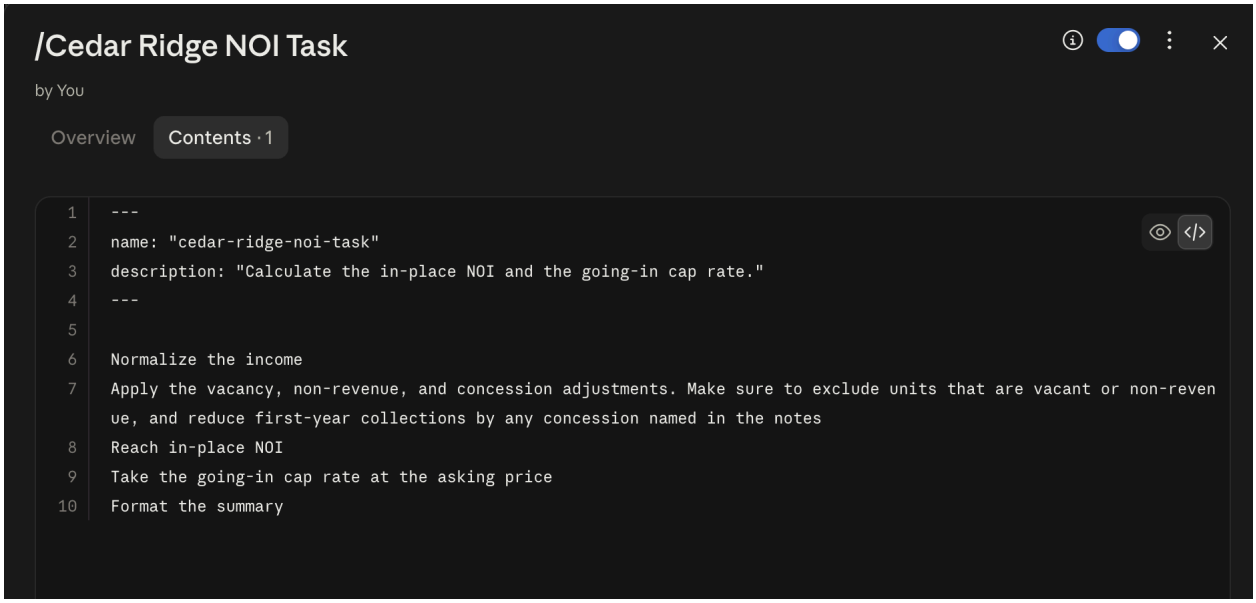
My Packaged Instruction:



Running the Skill 2x (including both session logs):
First:

I'll load your NOI skill and run it against the rent roll and operating expenses you attached.

In-place NOI: $98,100 · Going-in cap rate: 5.61% at the $1,750,000 ask.

Income normalization

Item	Annual
Occupied revenue units (101–110): 7 × $1,450 + 2 × $1,375 + 1 × $1,500 = $14,400/mo	$172,800
Less: Unit 110 one-month free concession	(1,500)
Net rental income	**$171,300**
Other income (laundry, parking, fees)	6,600
Effective gross income	**$177,900**
Operating expenses (TTM, incl. $3,400 reserves)	(79,800)
In-place NOI	**$98,100**
Asking price	$1,750,000
Going-in cap rate	**5.61%**

Excluded: Unit 111 (vacant) and Unit 112 (manager's unit, non-revenue). Expense lines sum correctly to $79,800.

Things worth checking before you rely on this

- **Concession timing.** Unit 110's free month was August 2026, which is before the 9/1 rent roll date. That means it may already be burned off. Without the deduction, NOI is $99,600 and the cap rate is 5.69%.
- **Legacy leases.** Units 108 and 109 rent at $1,375, while market is about $1,500. Marking both to market adds $3,000/yr, about 17 bps of cap rate. Unit 108 is month-to-month. Unit 109's lease ended 9/14, so ask the broker for its current status.
- **Near-term rollover.** Unit 103 expires 10/31 and Unit 107 expires 11/30.
- **Manager compensation.** The free unit is the manager's pay, and there's no separate payroll line. If a buyer would pay cash wages instead, expenses go up. If Unit 112 is converted to a revenue unit, income rises by about $18,000/yr.
- **Upside case.** Leasing Unit 111 at $1,500 adds $18,000/yr. With Unit 111 leased plus 108 and 109 marked to market, NOI is about $119k, a cap rate of about 6.8% before any new vacancy or credit loss assumption.

Second:

I'll run your Cedar Ridge NOI skill on the rent roll and the operating expenses file.

The in-place NOI comes out to **$98,100**. At the $1,750,000 asking price, that is a **going-in cap rate of 5.61%**.

Income

	Annual
In-place rent: 10 rent-paying units, $14,400/mo	$172,800
Less the free month on unit 110	($1,500)
Net rental income	$171,300
Other income (laundry, parking, fees)	$6,600
Effective gross income	**$177,900**
Operating expenses, last 12 months (reserves included)	($79,800)
NOI	**$98,100**
Cap rate ($98,100 ÷ $1,750,000)	**5.61%**

What I left out

- **Unit 111** is vacant, so its $1,500 asking rent isn't counted as income.
- **Unit 112** is the on-site manager's unit and pays no rent, so its $1,450 isn't counted either.

Things that could change the number

- **The free month on unit 110 may already be used up.** That lease started August 1, before the rent roll date. If August was the free month, the tenant pays full rent from here on. NOI would then be $99,600 and the cap rate 5.69%. Ask the broker which month was free.
- **Unit 109's lease ended September 14,** after the rent roll was dated. Find out if the tenant renewed, went month to month, or left. Unit 108 is already month to month at the older $1,375 rent.
- **Unit 103's lease ends October 31.** That makes three units with near-term risk, but also room to raise rent. Moving 108 and 109 up to the $1,500 rate on recent leases would add $3,000 a year of NOI, about 17 basis points of cap rate at this price.
- **The $79,800 of expenses includes $3,400 of replacement reserves.** Without them, NOI is $101,500 and the cap rate 5.80%. Brokers often quote it that way, so check which version you're being compared against.

What moved between runs:

- The main numbers are the same. Both get $98,100 NOI and 5.61% cap rate
- The first one says more than the data shows on the free month. It says the free month was August. The broker's note only says the lease started August 1 with one free.
- The first one covers more upside. It adds what happens if the manager's unit gets rented out, the unit 107 lease ending in November, and a best case of about $119k NOI and a 6.8% cap rate with every unit leased at market.